Funding pattern is in the ratio of 90:10 between Centre and states except the north-eastern states for whom the 100 per cent Central funding is extended as Grant.

Q. 32 What are the causes of recent rupee slide.

Ans. Rupee has been showing a serious tendency of depreciation since mid-September 2011 and presently it is at Rs 56, per dollar. The US dollar is at its eight months high today against its major rivals. The reasons for rupee slide and dollar high are driven by the following reasons:

(i) the rupee is sliding on account of strong demand from importers (oil is India's biggestimport and domestic oil firms are the largest purchasers of the dollar in the local currencymarket).

(ii) banks in India are also creating high demands for dollars.

(iii) the greenback is being seen as a *safe haven*, especially at a time when risk aversion issweeping through global financial markets. The weakening Euro is the chief concern for the world investors – making them search for a safe heaven.

(iv) though the downgrading of the US dollar is another concern – as the international investors are still showing hope in the dollar (due to weakening euro) it has not beentranslated into stronger rupee (as banks and importers are demanding more dollars).

(v) world stocks stumbled from the 1-1/2 month high on October 18, 2011 and government bonds rose as slower-than-expected Chinese growth and a warning on France's AAA sovereign credit rating prompted investors to cut risks.

The depreciating rupee has emerged as a major concern for policymakers/ RBI in India – which puts a threat of spiralling into further price rises. In the given situation, if the central bank intervenes to support the rupee, it will increase its supply into the economy again fueling inflation which has already been the biggest challenge for the government for the past one and half years.

Nevertheless, the decline in the rupee exchange rate has given merchandise and software exporters cause for *cheer*, as they will enjoy better profits